Precision Wires India Ltd

Concall Tracker — is there a real earnings driver, and has management stuck to its word?

No earnings calls held — built from a global web deep-dive (annual report, rating reports, filings, news) · 04 Jul 2026 · BSE: 523539 / NSE: PRECWIRE

Plain-word key: Winding wire = the thin insulated copper wire wound inside transformers, motors and appliances. **CTC** (continuously transposed conductor) = a premium bundled copper wire used inside large power transformers. **Tolling / conversion model** = the customer pays for the copper; Precision Wires charges a fixed fee per tonne to turn it into wire — so most of "sales" is just copper passing through. **MTPA** = tonnes of capacity per year. **Backward integration** = making your own raw material instead of buying it. **Operating margin (OPM)** = operating profit as a % of sales.

1 Snapshot — what this business is

Precision Wires is **India's largest maker of copper winding wire** — the insulated copper wire wound inside transformers and motors — plus a higher-value product (CTC) used in big power transformers. Crucially it works on a **"conversion" model**: the customer bears the cost of the copper, and Precision Wires simply charges a fee to shape it into wire. So its reported sales are ~90% pass-through copper, which makes headline margins look tiny — the real money is the fee per tonne.

Number (year to March)	Value	What it means in plain words
Revenue FY26	₹5,410 cr	Total sales, up a big **35%** from ₹4,015 cr — but remember most of this is copper passing through at cost.
Net profit FY26	₹155 cr	Bottom-line profit, up **72%** from ₹90 cr in FY25 — the profit grew far faster than sales, a good sign.
Operating margin FY26	~6%	Looks thin, but that is normal here — most "sales" is just copper cost. The real economics are the conversion fee per tonne (which has been rising).
Credit rating	CARE A+	A solid credit rating, **upgraded** from 'A' in 2024 — the lenders see a strengthening business.
Market value	~₹7,337 cr	The stock market's price tag (share ~₹401). At ~47× earnings it is **richly valued** for a thin-margin converter.
Return on capital	~33%	For every ₹100 of capital in the business it earns about ₹33 a year — genuinely high.

2 Coverage — no earnings calls, so a web deep-dive

NO CONCALL

Precision Wires does not hold earnings concalls (none are available on Screener.in). This report is built from a **global web deep-dive** — chiefly the company's annual report and two detailed CARE credit-rating reports (which quote management's own capacity, capex and margin figures), plus stock-exchange results filings and news.

How rich is the public record? Moderately good. The two rating reports give a clean multi-year picture of capacity, debt and the growth plan straight from management inputs. **The thin spots** — there is no split of sales between the commodity wire and the premium CTC product, no exact conversion-fee-per-tonne for the latest years, and no firm commissioning date for the new backward-integration plant.

Main sources used: CARE Ratings reports (Mar 2024 & Nov 2025); Screener.in; FY26 results (ScanX / TradeBrains / Business Standard); Annual Report FY24-25.

3 The earnings trigger — what will grow profit

HEADLINE

Yes — there is a real, proven driver, with a margin kicker still to come. The engine is **steady capacity expansion feeding rising volumes**, helped by a genuine tailwind: India's huge spending on power grids and renewables needs the large transformers that use Precision Wires' premium CTC wire. That has already delivered — FY26 sales +35%, profit +72%. On top of that, a new **copper backward-integration plant (Zaroli)** could lift the thin margins — but it is not running yet.

Driver	What the record says	Evidence so far	Horizon	Strength
Capacity + volume growth	Steady capacity build 39,400 → ~61,000 tonnes/yr; ₹300 cr capex over 3 years	Delivered on schedule; ~24% sales growth per year over 5 years, FY26 +35%	Now → ongoing	Strong
Transmission & renewables capex boom	India's ~₹9 lakh-cr grid build-out; tight global transformer demand feeds premium CTC wire	Real structural tailwind for its highest-value niche; Precision Wires is a leading CTC supplier	Multi-year	Moderate–Strong
Zaroli backward-integration (own copper)	₹240 cr plant to make its own pure copper → cut raw-material cost, lift margins	Land bought, funds raised, construction started — but **not yet operational**; margin benefit unproven	Future	Unproven
Shift to value-added products (CTC)	Move the mix toward higher-fee premium wire	Credited by the rating agency as a real FY25 profit driver — but not separately disclosed	Ongoing	Moderate
Exports / EV-motor demand	Exports ~12%; motor makers as customers	Small and incremental; no quantified plan	Optional	Weak

4 Has management been consistent? — promised vs delivered

Judged from annual reports and the two CARE rating reports across the last 2-3 years (there are no calls to check against):

What was signalled	When	What actually happened	Verdict
Capacity ramp 39,400 → ~49,000 → 55,000 → 61,000 tonnes/yr	FY24 → FY26	Hit at each step, on schedule — a continuous, reliable cadence	Delivered
Scale-led profit growth from the capacity + mix strategy	FY23 → FY25	~24% sales / ~22% operating-profit growth per year; FY26 sales +35%, profit +72%	Delivered
Shift the mix to higher-value products to lift the fee per tonne	FY23 → FY25	Confirmed by the rating agency as a real driver — but never sized publicly	Delivered but opaque
Zaroli plant to make own copper and improve margins	FY25 → FY26	In build (land bought, loan drawn) — margin benefit not yet realised	Too early

Keep borrowing low through the expansion	Ongoing	Leverage stayed low; credit rating upgraded 'A' → 'A+' in 2024 and reaffirmed in 2025	Delivered

Has the story drifted? No — it has been **steady and, if anything, upgraded.** The narrative moved from "reliable converter growing on capacity" (FY23-24) to adding an explicit "expand margins by making our own copper" leg (FY25-26) — a deliberate, credible step up rather than a change of story, with a family-member put in charge of the copper project since 2023. Nothing has been abandoned, capacity promises were kept on time, and the balance sheet held firm enough to earn a rating upgrade. **Two watch-items:** disclosure is thin (no product-wise sales split), and promoter shareholding has slipped ~3% over three years.

5 Bottom line

Durable earning trigger? → YES

There is a **proven, still-live** driver: reliable capacity-led volume growth sitting on top of a genuine multi-year tailwind — India's grid and renewables build-out needs the large transformers that use Precision Wires' premium wire. It is already in the numbers (FY26 sales +35%, profit +72%), and the new copper plant offers a margin bonus on top. The main caveats are that headline margins are structurally thin and the stock is expensively priced.

Management consistent? → YES

Even without earnings calls, the record is clean: capacity promises were delivered on time, the profit-growth story played out, borrowing stayed low enough to earn a credit-rating **upgrade**, and the strategy was sensibly upgraded rather than abandoned. The only blemishes are thin disclosure (no product split) and a small drift down in promoter ownership — worth watching, but not enough to dent a consistent track record.

Because Precision Wires holds no earnings calls, this consistency read is based on annual reports and credit-rating reports versus reported results, not on quarterly call commentary. It is not investment advice. Do your own due diligence.